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UPDATE

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Global Macro Commentary | Global

October 22: Geopolitics in Focus

US proposes new sanctions on Russia & expanded software export controls on China; potential lower capital requirement hikes in Basel Endgame; potential US-India trade agreement; soft UK CPI; Bank Indonesia on pause despite expected 25bp cut; DXY at 98.89 (0.0%); US 10y at 3.951 (-1.2bp).

Risk sentiment softens throughout the day amid geopolitical developments involving the US, China, and Russia.

Developed Markets

- **Treasury swap spreads widen on the back of unconfirmed reports that the Fed is considering even smaller capital requirement increases for large banks in the upcoming Basel Endgame re-proposal.** The rumored 3-7% increase, if accurate, is slightly higher than our banks analysts' expectations (for more, see here). The afternoon's 20y re-opening stops 1.2bp through, showing strong demand. Media reporting suggests the Fed lost access to ADP's private payrolls data, further limiting data availability amid the government shutdown. Some Republican lawmakers suggest a 1-year continuing resolution to end the shutdown, but it remains unclear if Democrats would support such a plan, and the House of Representatives is still out of session.

- **US yields edge down 1bp, supported by unwinding momentum and deteriorating risk sentiment as the US administration considers expanding export controls on China**. The proposed measures could apply globally to items containing or produced using US software, potentially creating more negotiating leverage for the US ahead of the potential meeting between President Trump and Chinese President Xi at the APEC Summit on October 31. Regarding the proposed measures, Treasury Secretary Bessent states that "everything is on the table." The downward correction in the S&P 500 (-0.5%) is led by AI-related stocks and other sectors exposed to trade disruptions (Industrials: -1.3%; Consumer Discretionary: -1.0%).

- **Oil prices rise 2-3% on reports of declining US inventory and geopolitical developments with Russia.** The EIA reports that US crude stocks fell by nearly 1 million barrels last week. Brent prices climb further in the afternoon as the US Treasury targets two Russian oil companies with sanctions unless there is an "immediate ceasefire." However, President Trump refutes media reporting that the US has authorized Ukraine to use key military equipment. The oil-sensitive NOK (USD/NOK: -0.4%) and CAD (USD/CAD: -0.2%)

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outperform among G10 currencies.

- **The dollar trades sideways (DXY: 0%), and GBP underperforms (GBP/USD: -0.1%) after UK September CPI comes in softer than expected** at 3.8% y/y (C: 4.0%; P: 3.8%). Gilts bull-steepen sharply (2y: -9bp; 30y: -4bp) as market pricing for a BoE cut by December rises to ~70%. Our economists believe a November cut is now a possibility, but the BoE's firm focus on elevated headline inflation still suggests risks are skewed towards December. Meanwhile, euro area rates sell off in a modest bear-steepening (30y Bund: +2bp), despite some early morning spillover from the UK rates rally. EUR/USD climbs 0.1% in line with yield differentials.

- **Japanese rates rally ~1bp across the curve, with the long end showing little reaction to reports of Prime Minister Takaichi preparing a $92bn economic stimulus package**. Expectations for some fiscal expansion under the new administration appear to be largely priced by markets. In the Tokyo afternoon, short-end JGBs find support from a solid BoJ JGB purchase operation. USD/JPY closes little changed.

Emerging Markets

- **Indian media reports progress towards a trade agreement with the US that could reduce US tariffs to 15-16% from the current 50%.** According to unconfirmed reports, the agreement could be announced at the ASEAN Leaders Summit on October 26-28 and involve India gradually reducing its imports of Russian oil. Amid a local Indian holiday, derivative markets imply a stronger INR, with 1m USD/INR NDF falling 0.3%.

- **AxJ currencies mostly remain stable while rates rally, but a surprise decision by BI drives a sell-off in Indonesian rates.** 5y IndoGBs sell off 4bp after BI unexpectedly maintains its policy rate at 4.75%, whereas consensus expected a 25bp cut. IDR initially weakens 0.2% but retraces to end the Asia session largely unchanged. Meanwhile, TWD weakens 0.3% as Taiwan's CBC discloses $13bn of FX intervention in 1H25.

- **Rates also bull-flatten in Thailand (5y THB NDIRS: -5bp) after BoT lowers its 4Q25 GDP growth forecast, and the minutes from BoT's October meeting convey a dovish outlook.** THB weakens another 0.2% against USD as gold prices continue to fall (-1%) following Tuesday's historic sell-off. Meanwhile, Korean rates outperform (5y KRW NDIRS: -5bp) ahead of Thursday's BoK meeting, where our economists expect the BoK to remain on hold in light of the recent Seoul housing price rebound (for more, see here).

- **LatAm currencies trade mixed, with Chile reversing weakness from Tuesday (USD/CLP: -0.3%) on stronger copper prices.** Brazil's DI curve bull-flattens and BRL weakens 0.4% as market participants await details on Finance Minister Haddad's push to reincorporate key elements of rejected fiscal measures (MP 1303) into new bills. COP underperforms, declining 0.4%

against USD despite a lack of new developments regarding the recent US-Colombia tensions. Mexico's TIIE and Colombia's IBR curves trade relatively flat in line with US rates.

- **In CEEMEA, rates mostly sell off across the region in line with euro area rates.** In Turkey, rates sell off ~12bp across the OIS curve while local equities outperform (BIST 30: +0.9%) ahead of Thursday's CBT meeting, where our economists expect the CBT to lower rates by 150bp (C: -100bp). In South Africa, the entire curve shifts higher by ~6bp following several sessions of bull-flattening.

Central Bank Monitor

Developed Markets

- **ECB Vice President Guindos** said current interest rates are "adequate," and euro area inflation risks are balanced.
- **ECB President Lagarde** called for greater trading integration across the European Union.

Emerging Markets

- In **Indonesia**, **BI** unexpectedly maintained its policy rate at 4.75% (MSe: 4.50%; C: 4.50%; P: 4.75%), citing inflation expectations and the need to maintain IDR stability. Governor Warjiyo said the central bank still sees room for lower rates given low inflation projections and below-capacity economic growth. He mentioned the transmission of recent rate cuts, growth and inflation prospects, and IDR as factors to assess the room for further easing. He called for banks to accelerate reduction in lending rates and floated up to a 500bp RRR cut for banks that lend to priority sectors, with an additional 50bp cut for banks that align their credit rate with the policy rate.
- In **Thailand**, **BoT** revised down its 3Q25 GDP growth forecast to -0.5% q/q while expecting a 0.5% recovery in 4Q25 as plants reopen and the fiscal stimulus boosts consumption. BoT's October meeting minutes express concerns around below-potential growth. The MPC noted financial conditions are tight and expressed concerns around the impact of USD/THB weakness on exporters. The MPC agreed that monetary policy should remain accommodative, emphasizing the importance of preserving policy space, though some members said monetary policy should also consider financial stability. The two members who voted for a 25bp cut cited economic vulnerabilities, the need for more accommodative financial conditions, and reducing the risk of low inflation from demand-side factors.
- In **Taiwan**, **CBC** disclosed that it bought $13.25bn of foreign currency in 1H25, the most since 2H20. The central bank sees global trade growth weakening in 2026 due to US tariffs weighing on Taiwan's exports and private investment growth while private consumption recovers.

Exhibit 1: G4 Rates Closes (5pm NY)

	US			Germany			UK			Japan		
Tenor	22-Oct	1d Δ (bp)	2wk	22-Oct	1d Δ (bp)	2wk	22-Oct	1d Δ (bp)	2wk	22-Oct	1d Δ (bp)	2wk
2y	3.445	(1.1)		1.907	0.2		3.762	(9.0)		0.919	(1.2)	
3y	3.444	(1.4)		1.957	0.6		3.742	(8.8)		1.000	(1.5)	
5y	3.553	(1.1)		2.158	0.5		3.870	(7.2)		1.207	(1.4)	
7y	3.730	(1.3)		2.299	0.9		4.016	(6.5)		1.422	(1.9)	
10y	3.949	(1.3)		2.562	1.1		4.416	(6.0)		1.639	(1.6)	
20y	4.505	(1.2)		3.044	1.5		5.097	(5.1)		2.624	(0.7)	
30y	4.531	(1.2)		3.146	1.9		5.220	(4.5)		3.103	(1.4)	

Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Inflation Closes (5pm NY)

US TIPS				10y Real Yields, BEI							
Tenor	22-Oct	1d Δ (bp)	2wk	10y	22-Oct	1d Δ (bp)	2wk	10y	22-Oct	1d Δ (bp)	2wk
5y	1.176	(3.4)		DBRi	0.617	0.0		BTPi	1.667	(0.2)	
BEI	2.353	2.4		BEI	1.737	1.0		BEI	1.705	0.7	
10y	1.658	(2.8)		UKTi	1.512	(4.1)					
BEI	2.289	1.4		BEI	2.976	(1.8)					
30y	2.320	(2.5)		JGBi	0.055	(1.3)					
BEI	2.213	1.2		BEI	1.560	(0.3)					

Source: Morgan Stanley Research, Bloomberg

Exhibit 3: Macro Closes (5pm NY)

Majors				EM				Equities / Commodities			
Spot	22-Oct	1d Δ (%)	2wk	Spot	22-Oct	1d Δ (%)	2wk	Index	22-Oct	1d Δ (%)	2wk
DXY	98.90	(0.0)		CNH	7.13	(0.0)		S&P	6699.40	(0.5)	
EUR	1.161	0.1		INR	--	--		Stoxx	5639.21	(0.8)	
GBP	1.336	(0.1)		THB	32.88	0.4		FTSE	9515.00	0.9	
JPY	151.98	0.0		KRW	1431.10	(0.1)		Nikkei	49307.79	(0.0)	
CHF	0.796	(0.1)		ZAR	17.41	0.1		VIX	18.60	4.1	
AUD	0.649	0.0		MXN	18.43	(0.0)		Gold (S)	4098.42	(0.6)	
CAD	1.399	(0.2)		BRL	5.40	0.2		WTI (Fut)	58.50	2.2	

Source: Morgan Stanley Research, Bloomberg

Exhibit 4: G4 Central Bank Implied Pricing

Central Bank OIS															
Fed	Implied	1d Δ (bp)	Total Δ	ECB	Implied	1d Δ (bp)	Total Δ	BOE	Implied	1d Δ (bp)	Total Δ	BOJ	Implied	1d Δ (bp)	Total Δ
EFFR (10/21)	4.110	0.0	--	EONIA (10/21)	1.928	0.0	--	SONIA (10/21)	3.969	0.0	--	TONAR (10/21)	0.477	0.0	--
10/29/25	3.863	0.5	(24.8)	10/30/25	1.921	(0.1)	(0.7)	11/06/25	3.878	(5.9)	(9.1)	10/30/25	0.502	1.8	2.5
12/10/25	3.615	0.3	(49.5)	12/18/25	1.887	0.2	(4.1)	12/18/25	3.790	(7.5)	(17.9)	12/19/25	0.568	(7.3)	9.1
01/28/26	3.463	0.5	(64.8)	02/05/26	1.865	0.2	(6.3)	02/05/26	3.643	(8.8)	(32.6)	01/23/26	0.685	(0.1)	20.8
03/18/26	3.328	0.3	(78.2)	03/19/26	1.803	(0.5)	(12.5)	03/19/26	3.581	(10.1)	(38.8)				
04/29/26	3.248	(0.2)	(86.3)	04/30/26	1.814	2.6	(11.4)	04/30/26	3.476	(11.0)	(49.3)				
06/17/26	3.106	(0.4)	(100.4)	06/11/26	1.777	2.3	(15.1)	06/18/26	3.439	(10.8)	(53.0)				

Source: Morgan Stanley Research, Bloomberg

The Day Ahead

Developed Markets

- 7:45pm BST - **France October Business Confidence** (MS: 96; C: 96; P: 96)
- 3:00pm BST - **EA October Consumer Confidence** (MS: -14.6; C: -15; P: -14.9)

Emerging Markets

- Thu - **Korea BoK Rate Decision** (MSe: 2.50%; C: 2.50%; P: 2.50%). Our economists expect the BoK to keep rates on hold with a 5-1 vote given the recent Seoul house price rebound. Read more
- 12:00pm BST – **Turkey CBT Rate Decision** (MSe: 39.0%; C: 39.5%; P: 40.5%). Our economists expect the CBT to slow the pace of easing by delivering a 150bp rate cut at its upcoming October meeting, compared to 250bp in September. Read more

- 1:00pm HKT - **Singapore September Headline CPI** (C: 0.6% y/y; P: 0.5%) & **Core CPI** (C: 0.2% y/y; P: 0.3%)
- 4:30pm HKT - **Hong Kong September CPI** (C: 1.1%; P: 1.1%)
- 9:00am BST - **Poland September Unemployment Rate** (C: 5.6%; P: 5.5%)
- 8:00am EST - **Mexico IH October CPI** (MSe: 0.34% h/h; P: 0.02%; C: 0.38%). Headline inflation is expected to accelerate sharply from last month's near-flat bi-weekly print, driven by seasonal pressures in energy and food. We also expect core CPI to rise to 0.20%, but with a more modest increase, reinforcing our view that underlying price pressures remain contained. The market is currently pricing in ~41bps of cuts for the remainder of 2025 and 32bps for next year, with a terminal rate of 6.77% in March
- 8:00am EST - **Mexico August Retail Sales** (P: 2.40% y/y; C: 2.60%). Retail activity is expected to show a slight pickup, consistent with resilient domestic demand

Economic Releases

Developed Markets

- 10:00am EST - **US September Existing Home Sales** (MSe: 4.060m; C: 4.1m; P: 4.0m). After a net 3.7% increase in the pending home sales index over the past two months, we forecast a 1.5% increase in existing home sales to a 4.060 million annual rate. Existing home sales have been running close to flat for about two years (with some monthly exceptions), but rising inventories of existing homes for sale appear to be putting downward pressure on home price appreciation, which eventually should support a somewhat faster sales pace. High rates remain an important headwind.
- 11:00am EST - **US October Kansas City Fed Manufacturing Activity** (C: 2; P: 4). September's index rose to 4 from 1 in August, signaling modest expansion, though future expectations softened with the forward-looking composite index falling to 7 from 11. We forecast October's reading to hold around 4, reflecting continued but subdued growth amid persistent weakness in new orders and export demand.
- **UK September CPI:** 3.8% y/y (C: 4.0%; P: 3.8%); **Core CPI:** 3.8%; **Services CPI:** 4.7% & **RPI:** 4.5%. Our economists note underlying services inflation, on our estimates, came in at 3.9% y/y, the lowest such print since February 2022. Core goods inflation was below market expectations, with a decent miss on food despite a further sharp rise in beef prices. Read more

Emerging Markets

- **Korea September PPI:** 1.2% y/y (P: 0.6%)
- **Malaysia September CPI:** 1.5% y/y (C: 1.4%; P: 1.3%)
- **Hungary September Unemployment Rate:** 4.5% (C: 4.5%; P: 4.4%)
- **Poland September Retail Sales:** 6.6% y/y (C: 7.2%; P: 3.0%)
- **South Africa September CPI:** 3.4% y/y (MSe: 3.5%; C: 3.4%; P: 3.3%)
- **Mexico August Economic Activity IGAE:** -0.90% y/y (P: -1.14%; C: -0.50%). Activity remains weak, but the pace of contraction eased slightly in August. It is still softer than expected, suggesting a slow recovery.

For more details, please refer to our economists' weekly reports and data previews:

- *US*
- *Japan*
- *Europe*
- *Asia/Pacific*
- *LatAm*
- *CEEMEA*

Please click here if you would like to receive our weekly strategic advice on global rates, FX, and EM. See our latest Global Macro Strategist: Missing the Global Disinflation Forest for the US Inflation Tree and recent publications:

- G10 FX Strategy, US Rates Strategy, and US Economics: September CPI Fixings - Close to the Mark but Slight Downside Risk to USD
- US Rates Strategy: Buy 10-Year TIPS Breakevens vs Sell 1-Year CPI
- Chile Economics & Strategy: Central Bank Preview - An Uneventful Policy Decision
- Federal Reserve Monitor: Ahead of the October FOMC - Our Monetary Forecasts

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See A "Smarter" (Beta) Way to Trade G4 10y Futures Duration? for more information on these strategies.

Exhibit 5: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
JB 10y Future	32.50%	100%	100%	100%	200%	10/15/2025	11/20/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	0%	100%	100%	10/7/2025	11/11/2025	-	-
US 10y Future	30.50%	100%	100%	100%	200%	10/14/2025	11/19/2025	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	10/15/2025	11/19/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See Trading 10y Treasury Futures Around US Holidays for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. Exhibit 6 displays the trading rules:

Exhibit 6: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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(as of September 30, 2025)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

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